

Highlights

What Financial Statements Can and Cannot Reveal About Monetary Transmission to Corporate Balance Sheets: A Five-Country Emerging-Market Test

- A simple accounting ratio validates monetary transmission across five countries.
- Firm-level tightening exposure cannot be reliably measured from statements.
- Split-half reliability identifies exactly how attenuated an exposure proxy is.
- Turkish inflation-accounting restatement creates a bias fixed effects cannot fix.
- A common Turkish data field bundles currency losses into interest expense.